

Brazil's toss-up election hinges on campaign

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【メール原文】

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Daily Brief

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summary

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Brazil's President Luiz Inacio Lula da Silva remains slightly favored in a tightening race, as forecasting models point to a toss-up election.

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Spain's 2027 election will likely produce a right-wing government.

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Canada and the EU will upgrade commercial and security ties despite US tariff threats.

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US refined product export restrictions are likely if prices remain elevated.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, Canada, Central and Eastern Europe, China, the EU, South Africa, Spain, and energy.

the top line

Brazil—Forecasting models point to toss-up election, making campaign decisive

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Lula maintains 55% odds of victory, even as forecasting models no longer point to a clear favorite in the presidential elections.

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Approval-rating models still slightly favor the president, while issue-based models favor Senator Flavio Bolsonaro, but models based on voting intentions have moved from a Lula win to a toss-up.

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The duration of the Federal Supreme Court (STF) crisis, the quality of the campaigns, and Bolsonaro's ability to weather attacks and possible new corruption allegations will be key to the election's outcome.

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[Read more here](#) [register here](#) for our conference call at 9am ET today. Reach out to discuss: brazilresearch@eurasiagroup.net .

Spain—Next year's elections likely to produce a right-wing government

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The 2027 elections will likely take place in the first half of the year and yield a center-right government (a 75% probability), led by the conservative People's Party (PP) with the far-right Vox as its junior partner.

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The ruling center-left alliance could still secure another term, but that outcome is unlikely given the right's solid lead, divisions on the left, and the government's corruption scandals and mixed record.

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A conservative government would take a more business-friendly stance, continue gradual fiscal consolidation, and tighten immigration policy, without seriously threatening EU relations or support for Ukraine.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Canada, EU—Shared political ambition will drive enhanced EU strategic partnership

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While European Commission President Ursula von der Leyen's State of the Union speech called for Canada to become an "associate member" of the EU, there is no legal or institutional basis for that status in the EU treaties, and significant political hurdles at national and European levels will prevent its creation.

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The EU and Canada will nonetheless upgrade commercial and security ties, with initiatives in areas such as critical minerals, advanced technology and AI, conventional and clean energy, aerospace and defense, and labor mobility expected to be announced at the Canada-EU Summit on 29-30 October.

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US President Donald Trump's threat to levy tariffs against the EU and Canada if they press ahead is unlikely to deter closer cooperation, though US-Canada ties could further deteriorate and any new US levies would threaten to derail last year's EU-US agreement.

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Read more here . Reach out to discuss: canada@eurasiagroup.net .

Chart of the Day—US refined product export restrictions likely if prices remain elevated

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Washington will impose temporary, targeted refined-product export restrictions only if prices continue to rise and remain elevated through late October (see US Daily, 16 September).

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Current government measures will improve gasoline availability and fuel distribution, but won't directly resolve the diesel deficit. With refiners already deferring some autumn maintenance to sustain output and benefit from favorable economics, further production increases will be difficult.

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Diesel prices will remain elevated through winter even if crude prices retreat, as a sustained price normalization will depend on rebuilding inventories after the winter season.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Energy, CEE—Affordability concerns will shape central and eastern Europe's energy transition

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Central and Eastern European (CEE) governments will maintain a steady pace of decarbonization while expanding subsidies, capacity payments, and targeted fossil fuel support to help defray the costs for households and industry.

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Rather than push to dismantle climate frameworks, the revived Visegrad group will seek stable carbon prices and compensation for industry in the negotiations over the EU Emissions Trading System's second phase (ETS2) and the EU budget.

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New LNG capacity will bolster CEE's energy security, and nuclear agreements will deepen strategic partnerships, while coal dependence and grid bottlenecks will keep industrial power prices elevated well into the 2030s.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

China, Energy—Beijing will prioritize next-generation cleantech over mature technologies

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Additional guidance released under China's 15th Five-Year Plan (FYP) points to significant changes in the domestic policy environment for energy technologies, with more policy support focused on next-generation technologies like solid state and semi-solid state batteries.

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Fiscal support will decrease for mature energy technologies like solar and most existing lithium iron phosphate batteries that reached massive deployment during the 14th FYP, pushing Chinese manufacturers in these segments toward more exports and domestic capacity restraint.

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High energy density batteries will face the strictest export controls of any energy technology during the 15th FYP because of strategic non-energy applications.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

upcoming conference calls

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18 September 9:00 AM ET—Flash call: Brazil update. Register here .

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18 September 10:00 AM ET—Oil markets in crisis: navigating the escalating Middle East disruption. Register here .

eg in depth

US, South Africa—US visa restrictions add to persistent bilateral strain: US Secretary of State Marco Rubio announced a new visa restriction policy targeting South Africans the US considers responsible for enabling uncompensated land seizures and race-based discrimination, and could follow with other low-cost measures. These would add further strain to the bilateral relationship but have limited near term macroeconomic impact. Sanctions directed at the ANC, however, would represent a more consequential escalation that could disrupt ANC operations as banks seek to avoid sanctions exposure, help mobilize flagging support for the ANC ahead of November's local elections, make diplomatic de-escalation harder, and begin to affect broader business sentiment and investment appetite. A key watchpoint will be the seniority of those affected, as restrictions on sitting ANC ministers could undermine relations within the coalition government and give opposition parties another line of attack against the ANC ahead of the 4 November local elections by tying the deterioration in US relations to ANC policy choices. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Brazil—Bolsa Familia increase is a risky bet: Less than three weeks before the first round of elections, Lula announced a 15.04% increase in stipends paid by the Bolsa Familia cash transfer program. The minimum benefit will rise from 600 reais to 691 reais in October, costing 5.8 billion reais in 2026 and about 22.7 billion reais in 2027. The decision is the clearest example so far of the power of incumbency that has kept Lula a slight favorite in this election, but it's a risky gamble, as it might trigger a middle-class backlash. Middle-class voters have grown increasingly dissatisfied with the expansion of social benefits, either because they see them as unfair or because they believe they discourage employment. The increase appears designed to shift the campaign narrative away from the supreme court crisis. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Upcoming events:

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18 September: Events: NATO Military Committee Conference begins in Copenhagen, through 19 September; Data: US industrial production (IP).

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19 September: Events: Russian parliamentary election.

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20 September: Events: German state elections in Berlin and Mecklenburg-Vorpommern, and US Treasury Secretary Scott Bessent meets his Chinese counterpart He Lifeng in New York ahead of the 24 September Trump-Xi summit.

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21 September: Events: G7 ministers meet at the UN General Assembly, and Japanese stock markets close through 23 September; Data: China loan prime rates.

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22 September: Events: UN General Assembly begins 81st annual general debate; Central bank decision: Hungary.

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23 September: Events: OECD published interim economic outlook and Morocco holds legislative elections; Data: Eurozone, UK, and US S&P and India HSBC manufacturing PMI, Russia and Taiwan IP.

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24 September: Events: Chinese President Xi Jinping visits the US for talks with Trump; Central bank decisions: Egypt, Ghana, Mexico, Norway, Sweden, and Switzerland.

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25 September: Data: US University of Michigan consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

"I am not proposing a third bloc in order to become a great-power rival—only with better manners. This is about sovereignty, our ability to live as we wish. We do not seek power to dominate others."—Carney said in response to Trump's comments on Wednesday.

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